


# Canada Bread Company, Limited

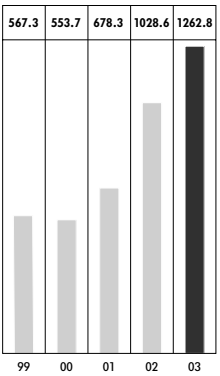
Interim Report to Shareholders

for the **Second Quarter** ended June 30, 2004

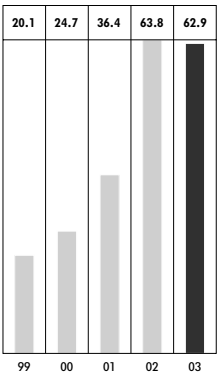
## Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the two years ended December 31, 2003 and 2002; and the quarters ended March 31, 2004 and June 30, 2004 (millions of dollars except share amounts).

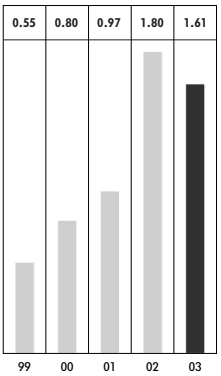
| **2004** | 1st Qtr. | 2nd Qtr. | 3rd Qtr. | 4th Qtr. | Total |
|---|---|---|---|---|---|
| Sales | $ 305 | $ 330 | $ — | $ — | $ 635 |
| Net earnings | 12.5 | 15.8 | — | — | 28.3 |
| Net earnings per share (basic) | $ 0.49 | $ 0.62 | — | — | $ 1.11 |
| Net earnings per share (diluted) | $ 0.48 | $ 0.61 | — | — | $ 1.09 |
| Cash flow from operations | $ 28 | $ 32 | — | — | $ 61 |
| **2003** | | | | | |
| Sales | $ 309 | $ 313 | $ 324 | $ 317 | $ 1,263 |
| Net earnings | 3.3 | 9.2 | 11.3 | 11.8 | 35.6 |
| Net earnings per share (basic) | $ 0.14 | $ 0.36 | $ 0.44 | $ 0.47 | $ 1.42 |
| Net earnings per share (diluted) | $ 0.14 | $ 0.35 | $ 0.44 | $ 0.46 | $ 1.39 |
| Net earnings before restructuring cost | $ 8.1 | 4 9.2 | $ 11.3 | $ 11.8 | $ 40.4 |
| Net earnings per share before restructuring cost | $ 0.34 | $ 0.36 | $ 0.44 | $ 0.47 | $ 1.61 |
| Cash flow from operations | $ (3) | $ 5 | $ 30 | $ 34 | $ 66 |
| **2002** | | | | | |
| Sales | $ 231 | $ 256 | $ 273 | $ 269 | $ 1,029 |
| Net earnings | 6.4 | 10.0 | 11.9 | 10.4 | 38.7 |
| Net earnings per share (basic and diluted) | $ 0.30 | $ 0.47 | $ 0.55 | $ 0.48 | $ 1.80 |
| Cash flow from operations | $ (1) | $ 22 | $ 49 | $ 22 | $ 92 |




**SALES**
(millions of dollars)




**EARNINGS FROM OPERATIONS**
Before restructuring costs
(millions of dollars)




**EARNINGS PER SHARE**
Before restructuring costs
(dollars)

Sales for the second quarter of $329.7 million compared to $312.5 million for 2003, while year-to-date sales were $635.1 million compared to $621.5 million last year. Earnings from operations for the second quarter increased 53% to $23.4 million from $15.3 million last year, while year-to-date earnings from operations were $42.8 million compared to $29.5 million last year. Sales and volumes increased in both the Fresh and Frozen Bakery operations, although the improvement was largely the result of strong Fresh Bakery performance.

All year-to-date earnings from operations comparisons exclude restructuring costs in the first quarter of 2003. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Net earnings for the second quarter increased 72% to $15.8 million or $0.62 per share, compared to $9.2 million or $0.36 per share last year. Year-to-date net earnings were $28.3 million or $1.11 per share, compared to $12.5 million or $0.50 per share last year.

Interest expense for the second quarter decreased to $1.5 million from $2.2 million last year, due to lower interest rates and lower debt levels. The effective tax rate for the second quarter was 28% compared to 31% last year. The tax rate differential was primarily due to rate differences in foreign jurisdictions.

Cash flow from operating activities for the second quarter increased to $32.5 million from a use of cash of $6.1 million last year. The significant improvement was due to higher earnings for the current quarter and favourable movement in working capital balances of $30.5 million compared to last year, primarily resulting from a $20.0 million increase in the accounts receivable securitization program.

The Company has for most of 2004 been exposed to interest rate fluctuations on its outstanding debt and accounts receivable securitization programs. During the quarter, the Company entered into a series of interest rate swaps to fix its exposure to interest rate fluctuations on a notional amount of $130 million for terms of between two and 10 years. Details of these swap contracts are set out in Note 4 to the attached financial statements.

As a result, the Company has fixed its interest rate on approximately 70% of its notional exposure at June 30, 2004, at interest rates between 3.89% and 5.35%.

**FRESH BAKERY**
*(fresh bakery products; specialty fresh pasta and sauces)*

Fresh Bakery sales for the second quarter increased 7% to $234.6 million compared to $219.2 million last year. Earnings from operations before restructuring costs increased 80% to $16.9 million compared to $9.4 million last year.

As noted above, Fresh Bakery operations improved operating earnings by $7.5 million quarter-over-quarter. Of this improvement, $2.6 million was due to the impact of a strike in the Fresh Bakery operations on last year's results. Price increases initiated in early 2004 to offset rising input costs have also restored margins to more normalized levels. The performance of the Atlantic Canada bakeries contributed to improved profitability, as new management continued to make good progress in resolving operating issues.

**Frozen Bakery**
*(frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales for the second quarter increased 2% to $95.1 million compared to $93.3 million last year. Earnings from operations before restructuring costs increased 9% to $6.5 million from $5.9 million last year. The U.K. bakery operations produced strong results in the quarter, and expansion is underway at two facilities to meet increasing demand for specialty bakery products. A major work stoppage involving several large U.S. retail customers impacted sales growth in the frozen par-baked operations. With these labour issues resolved, the Company expects business with these customers to return to normal growth rates.

The impact of low carb diets was mitigated through increased sales of whole grain and premium bread categories and through new product innovation. In the white bread category, *Dempster's Stays Fresh to the Last Slice* continued to increase market share by delivering a value-added benefit to consumers. A new line of reduced carbohydrate and whole grain frozen par-baked products was launched in the second quarter, further positioning the Company to meet a range of consumer needs.

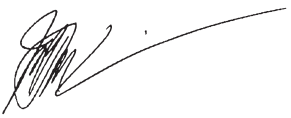
**Other Matters**
The Company declared a dividend of $0.06 per share payable on October 1, 2004 to shareholders of record on September 10, 2004.

**Forward-looking Statements**
This document contains forward-looking statements, which are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, these statements. Refer to the Company's Annual Report, management information circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

July 22, 2004

# Consolidated Balance Sheets

| In thousands of Canadian dollars | As at June 30, 2004 | As at June 30, 2003 | As at December 31, 2003 |
|---|---|---|---|
| ASSETS | *(Unaudited)* | *(Unaudited)* | |
| **Current assets:** | | | |
| Cash | **$ 33,121** | $ 6,873 | $ 11,528 |
| Accounts receivable (Note 3) | **25,803** | 61,206 | 44,699 |
| Due from Maple Leaf Foods Inc. | **2,433** | — | — |
| Inventories | **34,967** | 30,567 | 33,205 |
| Future tax asset current | **6,214** | 8,128 | 5,838 |
| Prepaid expenses | **5,388** | 9,057 | 2,081 |
| | **107,926** | 115,831 | 97,351 |
| Property and equipment | **341,017** | 318,716 | 335,811 |
| Other long-term assets | **2,606** | 4,397 | 2,657 |
| Goodwill and other intangibles | **346,455** | 328,163 | 341,814 |
| Future tax asset non-current | **3,774** | — | 2,321 |
| | **$ 801,778** | $ 767,107 | $ 779,954 |
| LIABILITIES AND SHAREHOLDERS' EQUITY | | | |
| **Current liabilities:** | | | |
| Accounts payable and accrued charges | **$ 149,398** | $ 148,980 | $ 151,134 |
| Due to Maple Leaf Foods Inc. | **—** | — | 443 |
| Dividends payable | **1,525** | 1,525 | 1,525 |
| Income and other taxes payable | **8,068** | 7,659 | 4,392 |
| Current portion of long-term debt | **704** | 7,055 | 26,941 |
| | **159,695** | 165,219 | 184,435 |
| Long-term debt | **143,926** | 153,704 | 126,710 |
| Future tax liability | **32,558** | 32,011 | 31,382 |
| **Shareholders' equity** | **465,599** | 416,173 | 437,427 |
| | **$ 801,778** | $ 767,107 | $ 779,954 |

*The accompanying notes to the consolidated financial statements are an integral part of this statement.*

## Consolidated Statements of Earnings

| In thousands of Canadian dollars, except per share amounts *(Unaudited)* | Quarter ended June 30, | | Six months ended June 30, | |
|---|---|---|---|---|
| | **2004** | 2003 | **2004** | 2003 |
| **Sales** | **$ 329,668** | $ 312,516 | **$ 635,080** | $ 621,508 |
| **Earnings from operations before restructuring costs** | **23,412** | 15,335 | **42,790** | 29,519 |
| Restructuring costs (Note 2) | **—** | — | **—** | (7,422) |
| **Earnings from operations** | **23,412** | 15,335 | **42,790** | 22,097 |
| Other income (expense) | **(18)** | 153 | **94** | 264 |
| **Earnings before interest and income taxes** | **23,394** | 15,488 | **42,884** | 22,361 |
| Interest expense | **1,537** | 2,191 | **2,924** | 4,768 |
| **Earnings before income taxes** | **21,857** | 13,297 | **39,960** | 17,593 |
| Income taxes | **6,058** | 4,114 | **11,612** | 5,092 |
| **Net earnings for the period** | **$ 15,799** | $ 9,183 | **$ 28,348** | $ 12,501 |
| Earnings per share – basic | **$ 0.62** | $ 0.36 | **$ 1.11** | $ 0.50 |
| Earnings per share – diluted | **$ 0.61** | $ 0.35 | **$ 1.09** | $ 0.50 |
| Dividends per share declared | **$ 0.06** | $ 0.06 | **$ 0.12** | $ 0.12 |
| Weighted average number of shares (millions) | **25.4** | 25.4 | **25.4** | 24.8 |

## Consolidated Statements of Retained Earnings

| In thousands of Canadian dollars except per share amounts *(Unaudited)* | Six months ended June 30, | |
|---|---|---|
| | **2004** | 2003 |
| Retained earnings, beginning of period | **$ 277,279** | $ 247,746 |
| Net earnings for the period | **28,348** | 12,501 |
| Dividends declared ($0.12 per share; 2003 – $0.12 per share) | **(3,050)** | (3,050) |
| Retained earnings, end of period | **$ 302,577** | $ 257,197 |

*The accompanying notes to the consolidated financial statements are an integral part of these statements.*

# Consolidated Statements of Cash Flows

| In thousands of Canadian dollars *(Unaudited)* | Quarter ended June 30, **2004** | Quarter ended June 30, 2003 | Six months ended June 30, **2004** | Six months ended June 30, 2003 |
|---|---|---|---|---|
| CASH PROVIDED BY (USED IN): | | | | |
| **Operating activities** | | | | |
| Net earnings for the period | **$ 15,799** | $ 9,183 | **$ 28,348** | $ 12,501 |
| Items not affecting cash: | | | | |
| Depreciation | **10,329** | 9,201 | **20,773** | 18,753 |
| Future income taxes | **(367)** | (567) | **(655)** | (4,138) |
| Loss (gain) on sale of property and equipment | **66** | (91) | **(8)** | (168) |
| Changes in non-cash operating working capital | **6,669** | (23,790) | **12,475** | (36,425) |
| | **32,496** | (6,064) | **60,933** | (9,477) |
| **Financing activities** | | | | |
| Dividends paid | **(1,525)** | (1,525) | **(3,050)** | (2,810) |
| Increase in long-term debt | **—** | 21,744 | **4,210** | 95,915 |
| Decrease in long-term debt | **(15,250)** | (226) | **(16,689)** | (175,505) |
| Increase in share capital | **—** | — | **—** | 106,000 |
| | **(16,775)** | 19,993 | **(15,529)** | 23,600 |
| **Investing activities** | | | | |
| Additions to property and equipment | **(13,928)** | (14,143) | **(24,530)** | (19,923) |
| Proceeds from sale of property and equipment | **31** | 144 | **719** | 284 |
| | **(13,897)** | (13,999) | **(23,811)** | (19,639) |
| Increase (decrease) in cash and cash equivalents for the period | **1,824** | (70) | **21,593** | (5,516) |
| Cash and cash equivalents, beginning of period | **31,297** | 6,943 | **11,528** | 12,389 |
| Cash and cash equivalents, end of period | **$ 33,121** | $ 6,873 | **$ 33,121** | $ 6,873 |

*The accompanying notes to the consolidated financial statements are an integral part of this statement.*

# Segmented Financial Information

| In thousands of Canadian dollars *(Unaudited)* | Quarter ended June 30, 2004 | Quarter ended June 30, 2003 | Six months ended June 30, 2004 | Six months ended June 30, 2003 |
|---|---|---|---|---|
| **Sales** | | | | |
| Fresh Bakery | **$ 234,552** | $ 219,169 | **$ 445,182** | $ 431,712 |
| Frozen Bakery | **95,116** | 93,347 | **189,898** | 189,796 |
| | **$ 329,668** | $ 312,516 | **$ 635,080** | $ 621,508 |
| **Earnings from operations before restructuring costs** | | | | |
| Fresh Bakery | **$ 16,912** | $ 9,395 | **$ 26,827** | $ 18,911 |
| Frozen Bakery | **6,500** | 5,940 | **15,963** | 10,608 |
| | **$ 23,412** | $ 15,335 | **$ 42,790** | $ 29,519 |
| **Capital expenditures** | | | | |
| Fresh Bakery | **$ 8,074** | $ 6,577 | **$ 12,896** | $ 9,600 |
| Frozen Bakery | **5,854** | 7,566 | **11,634** | 10,323 |
| | **$ 13,928** | $ 14,143 | **$ 24,530** | $ 19,923 |
| **Depreciation and amortization** | | | | |
| Fresh Bakery | **$ 5,286** | $ 4,879 | **$ 10,607** | $ 9,646 |
| Frozen Bakery | **5,043** | 4,322 | **10,166** | 9,107 |
| | **$ 10,329** | $ 9,201 | **$ 20,773** | $ 18,753 |

| In thousands of Canadian dollars | As at June 30, 2004 | As at June 30, 2003 | As at December 31, 2003 |
|---|---|---|---|
| | *(Unaudited)* | *(Unaudited)* | |
| **Total assets** | | | |
| Fresh Bakery | **$ 410,964** | $ 393,781 | $ 390,624 |
| Frozen Bakery | **381,811** | 347,933 | 363,483 |
| Non-allocated assets | **9,003** | 25,393 | 25,847 |
| | **$ 801,778** | $ 767,107 | $ 779,954 |

*The accompanying notes to the consolidated financial statements are an integral part of this statement.*

# Notes to Consolidated Financial Statements

(For the quarters ended June 30, 2004 and June 30, 2003)

## 1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2003. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2003.

**a) Segmented Information**

As of January 1, 2004, to reflect its new organizational structure, the Company has segmented results into two operating segments: Fresh Bakery Group and Frozen Bakery Group. The Fresh Bakery Group comprises fresh bakery products and specialty fresh pasta and sauces. The Frozen Bakery Group comprises frozen bakery products; including frozen par-baked and specialty bakery products. Prior periods have been restated for comparability.

**b) Hedging Relationships**

As discussed in Note 2(l)(i) of the annual consolidated financial statements for the year ended December 31, 2003, the Company is in compliance with CICA Accounting Guideline 13 relating to hedging.

**c) Accounting for Asset Retirement Obligations**

The application of new accounting standard, Section 3110, "Accounting for Asset Retirement Obligations" as disclosed in Note 2(l)(ii) of the annual consolidated financial statements for the year ended December 31, 2003 did not have a material impact on the financial statements of the Company.

**d) Comparative Figures**

Certain 2003 comparative figures have been reclassified to conform with the financial statement presentation adopted in 2004.

## 2. Restructuring Costs

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

## 3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At June 30, 2004, trade accounts receivable amounting to $70.0 million (June 30, 2003 – $50.0 million, December 31, 2003 – $50.0 million) had been sold under these programs.

## 4. Derivatives

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, earnings from operations before restructuring costs would have been lower by $0.1 million ($0.2 million year-to-date) and interest expense would have been higher by $0.6 million ($1.3 million year-to-date) for the second quarter 2004.

During the second quarter, the Company entered into interest rate swap contracts with Maple Leaf Foods Inc. on a notional amount of $130 million with maturity dates ranging from June 28, 2007 to June 28, 2014. Consequently, the Company has fixed interest rates on approximately 70% of its notional exposure, at interest rates between 3.89% and 5.35%.

**5. Pensions**

During the period, the Company recorded $2.1 million in net benefit plan expense (2003: $2.1 million). For the first six months of 2004, the Company recorded $4.3 million in net benefit plan expense (2003: $4.0 million).

**6. Supplemental information**

| | Quarter ended June 30, | Six months ended June 30, |
|---|---|---|
| | **2004** | **2004** |
| Cash taxes paid | **$ 1,924** | **$ 9,287** |
| Cash interest paid | **2,645** | **3,735** |




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